Veteran Retirement Transition Pilot — advocacy brief

Policy Director · MOO-100 · 12 October 2026 · internal draft for board review

This brief replaces the V1 advocacy brief entirely. The V1 brief argued that Virginia's 24-month purchase window should be repealed. **That is no longer our position, and the central claim of the V1 brief is now wrong.** V1 should not be circulated.

The proposal in four sentences

A Virginia state employee who is a veteran may purchase qualifying active-duty military service at approximate normal cost — the price every VRS member already pays inside their first two years — in exchange for retiring within six months. The Retirement Bridge gives that price to a member who is not yet eligible for an unreduced retirement allowance, for **only the months needed** to reach the threshold and never more than 48. The Retirement Incentive gives it to a member already eligible, for **no more than 12 months**. If the member chooses not to retire, they keep working and pay VRS the actuarial-equivalent difference to keep the credit.

Four-year pilot. State agencies only. Plan 1 and Plan 2 only. Hard sunset.

The case

Virginia takes a benefit away on a clock most veterans never see. A veteran hired into state service has 24 months from the date of hire to buy their military service at approximate normal cost. After that, the price becomes the full actuarial-equivalent cost, which rises with age. A veteran who did not have the money in year one, or did not know the window existed, pays several times more in year twenty — for the same service, to the same system, having served the same country.

We are not asking to change that rule. We considered asking, and decided against it. The 24-month window is a defensible cost-control policy, it applies to every member and every type of service, and repealing it would be a large open-ended change to the pension system in exchange for a benefit that would mostly reach people who are not near retirement. V1 asked for that. V1 was wrong.

What we are asking for is narrower and buys the Commonwealth something. Give the approximate-normal-cost price back in exactly two situations, both tied to a retirement the Commonwealth can observe: where the purchase is what gets the veteran to retirement, and where the veteran is already there and a year of credit moves them to go. In both cases the Commonwealth receives a defined retirement transition. **That is the exchange, and it is the whole argument.**

Five questions you will be asked, with the honest answer

"What does it cost?" We do not know, and we will not estimate it. VRS defines actuarial-equivalent cost as the present value of the higher benefit or earlier eligibility that purchased service creates, so only VRS can price this. We have asked for the ratio of actuarial-equivalent cost to approximate normal cost for this cohort and published our model across a range of it rather than pick a value. **We expect that ratio to be high** — actuarial cost rises sharply with age and both pathways deliberately reach the oldest members in the plan. We would rather carry a high number from VRS than a flattering one from us.

"Isn't this an unfunded liability?" Partly, and we say so. The member payment is verified — 12.50% of salary per year purchased in Plan 1, 10.74% in Plan 2 — and about $555,000 across four years at the central case. The cost to the trust fund is higher, and the largest part of it is the cost of earlier benefit commencement, which **no member payment can reach.** We have deliberately left that figure blank rather than guess at it. The pilot's answer to the exposure is that it is bounded six ways: four years, one election per member, only the months needed, 12 months maximum on the Incentive, a hard sunset, and state agencies only.

"Doesn't this save money by cutting payroll?" It reduces agency payroll, yes — roughly $690,000 a year at the central case, where a senior position is refilled at 85% of the departing salary and 3% of vacated positions are not refilled. **That money is agency appropriation. It is not VRS trust-fund money, and this proposal does not net the two.** The bill carries no mechanism moving one into the other, and no figure in our materials sums them. If you see a version of this argument that nets a payroll saving against a pension cost, it is not ours.

One trap worth naming. The State Employees employer contribution rate is 11.07% of payroll, and 6.49 of those points are amortization of a fixed-dollar unfunded liability — $6.05 billion. Cutting payroll does not cut that liability by a cent; it cuts the dollars collected against it, and the rate rises later to make it up. Counting the full 11.07% as avoided cost books a timing cost as a saving. We count 4.58 points plus FICA, and we show the amortization line separately as a cost.

"How many people does it reach?" About 17 to 86 over four years, with 42 as the central case, out of 28,994 Plan 1 and Plan 2 state employees. That is small, and it is small deliberately. It is also uncertain for a reason worth stating: we cannot tell you how many Virginia state employees are veterans, because **the veteran-status field is blank or unknown for about 69% of members.** Nobody can currently answer this question. Producing the answer is one of the pilot's purposes.

"Why not everyone — localities, schools, state police?" Because every one of those would make this a different and larger bill. Local government and school division employees are excluded so the pilot creates no unfunded local mandate and no Dillon's-Rule question. The Hybrid plan is excluded because its defined-benefit and defined-contribution structure raises separate questions. State Police, Virginia Law Officers and the Judicial Retirement System are excluded expressly: their retirement eligibility rules are different, so the Bridge arithmetic does not transfer, and the price of purchased service in those plans is roughly 1.9 and 2.6 times the non-hazardous rate. **We think veteran representation is probably highest in exactly those excluded plans, and we are saying so rather than letting it be found.** The honest position is sequencing — prove the mechanism on the plan we can model, and make an extension a costed proposal at reenactment rather than a guess now.

What is bounded, specifically

Boundary	Limit
Duration	Four years, hard sunset, expires without affirmative reenactment
Elections	One per member, per pathway
Bridge purchase at preferential price	Only the months needed to reach the threshold; never more than 48
Incentive purchase at preferential price	12 months maximum
Completion	Purchase completed within 12 months, using payment methods VRS already permits
Retirement	Within six months of completing the purchase
If the member does not retire	Preferential price is withdrawn; the actuarial-equivalent difference is owed to keep the credit
Who is covered	Plan 1 and Plan 2 members of the state employees plan. No localities, no school divisions, no Hybrid, no hazardous duty, no judicial
What else changes in VRS	Nothing

What the pilot produces

An annual report to the General Assembly, by pathway, covering: participants by plan and veteran status; military months purchased; normal-cost payments received; the actuarial-equivalent value of the service granted; average salary at election; actual retirement dates; months by which retirement was accelerated; participants who did not retire and were assessed the true-up; replacement salary where known; whether the position was refilled; positions not refilled; VRS actuarial impact; employer payroll savings; and administration cost.

That is the first real data Virginia will have on this question, and reenactment in 2031 should turn on it.

What we are honest about

- **Only VRS can price this**, and we have made no claim that it is actuarially neutral, minimal in impact or self-funding. We will not make one unless VRS writes it.
- **Our participant counts are a model**, built from published VRS tables. The two largest inputs — how many state employees are veterans, and how many hold qualifying purchasable service — are estimates, and the second has no source at all. We have asked VRS and DHRM for both.
- **The excluded plans are where the need may be greatest.** See above. We are not hiding it.
- **The Incentive pathway is the weaker of the two**, and we would rather say it than have it said to us. A member already eligible for unreduced retirement does not need purchased service to retire, so the credit raises their benefit and accelerates nothing by itself. The 12-month limit bounds the size of that; the true-up is what ties it to a retirement outcome. We have asked VRS counsel in writing whether that true-up can be made collectible. **If the answer is no, we will change the design and say why.**

The ask

Include the Veteran Retirement Transition Pilot in the 2027 legislative package, with a drafting request to the Division of Legislative Services by **30 November 2026**.

Sources, all retrieved 12 October 2026: VRS Annual Actuarial Valuation, June 30, 2025 (pp. 12, 49, 50); VRS Purchase of Prior Service cost-rate chart effective 1 July 2025; VRS Purchase of Prior Service pages on Cost Windows, Types of Service and Payment Methods; VRS Plan 1 and Plan 2 Handbooks for Members; VRS 101 brochure; DHRM presentation to the Senate Finance and Appropriations Committee, 21 January 2025; BLS Table 6A, employment status of veterans by state, 2025 annual averages. Participant counts, the payroll saving and the retirement-proximity shares are our model and are labelled as such throughout, not VRS results.